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Co-Tech Development Corp. | Asia Pacific

Announced preliminary August 2026 profits

Key Takeaways

- Co-Tech's August net profit was in line with our estimate but below Street consensus.
- August net margin of 19.2% was slightly below the 2Q net margin of 19.4%, as well as our 3Q net margin estimate of 20.2% and the Street at 23.0%.
- We believe the softer margin was likely driven by higher summer electricity rates (May 16 to October 15 for Co-Tech) and elevated input costs.

Co-Tech reported August 2026 profit per TWSE regulatory requirements:

- August revenue was NT\$1,056mn (+5% m/m, +60% y/y). August + September revenues account for 70% of our 3Q revenue estimate and 66% of the Street's.
- August pre-tax profit was NT\$254mn (+123% y/y), 34% of our 3Q pre-tax profit estimate and 28% of the Street's.
- August net profit was NT\$203mnM (+123% y/y), 34%/28% of MSe/Street's 3Q net profit estima
- August pre-tax profit was NT\$254mn (+123% y/y), 34% of our 3Q pre-tax profit estimate and 28% of the Street's.

We remain constructive on Co-Tech: We expect the undersupply of HVLP4 copper foil to persist into CY27-28. See [our recent initiation report](#)). We believe this should support more proactive price hikes by Co-Tech, which should drive further margin expansion. We reiterate our OW rating with a NT\$730 price target.

Exhibit 1: Co-Tech's preliminary August 2026 profit numbers

NT\$ M	3Q26			
	Aug-26	y/y	MSe	Cons
Revenue	1,056	60%	2,949	3,131
Pre-tax profit	254	123%	745	909
Net profit	203	123%	596	720
EPS (NT\$)	0.80	122%	2.36	2.74
Pre-tax margin	24.1%	6.8ppts	25.3%	29.0%
Net margin	19.2%	5.5ppts	20.2%	23.0%

Source: Company data, Bloomberg, Morgan Stanley Research estimates.

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Co-Tech Development Corp. (8358.TWO, 8358 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$730.00
Up/downside to price target (%)	43
Shr price, close (Sep 16, 2026)	NT\$510.00
52-Week Range	NT\$758.00-196.50
Sh out, dil, curr (mn)	252
Mkt cap, curr (mn)	NT\$128,304
EV, curr (mn)	NT\$127,970
Avg daily trading value (mn)	NT\$6,459

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	4.20	9.34	18.59	31.63
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	-	10.13	23.39	37.10
Revenue, net (NT\$ mn)	7,880	11,115	15,849	22,496
EBITDA (NT\$ mn)	1,538	3,027	5,934	10,070
ModelWare net inc (NT\$ mn)	1,063	2,366	4,706	8,009
P/E	66.0	54.6	27.4	16.1
P/BV	9.3	13.7	10.0	6.9
RNOA (%)	19.4	32.7	54.3	76.1
ROE (%)	16.3	31.5	50.1	61.7
EV/EBITDA	45.4	42.1	21.2	12.2
Div yld (%)	0.5	0.4	0.9	1.7
FCF yld ratio (%)**	(0.2)	0.7	2.2	4.3
Leverage (EOP) (%)	(4.4)	(8.5)	(19.3)	(31.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Co-Tech Development Corp. 8358.TWO			
Preliminary August profits announcement	16 Sep 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Co-Tech Development Corp. (8358.TWO)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 9.3% (beta of 1.0, equity premium of 8.7% and risk-free rate of 1%), medium-term growth rate of 13%, and terminal growth rate of 3%.

Risks to Upside

- Stronger AI demand
- Slower-than-expected capacity expansion by competitors
- Faster-than-expected material upgrades
- Slower-than-expected CPO adoption

Risks to Downside

- Weaker AI demand
- Faster-than-expected capacity expansion by competitors
- Slower-than-expected material upgrades
- Faster-than-expected CPO adoption

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(as of August 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Co-Tech Development Corp. (8358.TWO) - As of 09/16/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 9/14/26 : 0/I

Price Target History: 9/14/26 : 730

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/16/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$40.64
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.21
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.36
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.38
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.72
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb423.69
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$1,005.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.53
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.36
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.61
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,225.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.20
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.14
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$58.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb52.89
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.95
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.32
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb69.74
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$40.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb52.41
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$68.50
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb268.99
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.05
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.18
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb461.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$177.00

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb111.73
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.68
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb907.80
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,137.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$22.62
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb32.37
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,840.00
Advantech (2395.TW)	O (01/20/2021)	NT\$695.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,240.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,175.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.40
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,360.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,995.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.45
Chenbro (8210.TW)	O (07/23/2025)	NT\$883.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,090.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,710.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$148.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$64.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,045.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$331.50
Innolux (3481.TW)	E (04/07/2025)	NT\$48.70
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb33.31
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$277.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.76
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.52
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb206.25
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$939.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$207.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.35
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$5,085.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.25
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb62.33
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$350.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$992.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$248.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.15
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$47.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,805.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$33.80
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,510.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$89.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$340.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb154.48
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb392.50
Unimicron (3037.TW)	O (02/23/2026)	NT\$961.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$515.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$183.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,165.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$536.00

Zhen Ding (4958.TW)	++	NT\$493.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$510.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,415.00

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* Historical prices are not split adjusted.